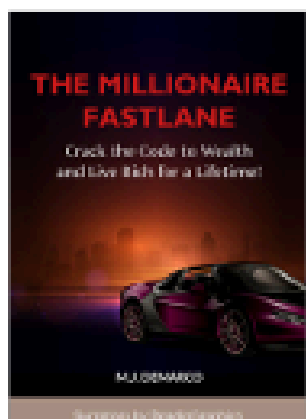




THE MILLIONAIRE FASTLANE

Crack the Code to Wealth
and Live Rich for a Lifetime!

M.J. DEMARCO



The Big "So What"

Most of us are taught to get a good degree, get a good job, work hard, save, invest, and hopefully retire rich by 65. However, this is a flawed approach. In this book, self-made millionaire and semi-retired entrepreneur DeMarco presents the roadmap for anyone to become truly wealthy in ≤ 10 years.



Introduction



Retiring Young and Rich: DeMarco's Journey



Unlike most people, DeMarco didn't climb the corporate ladder after graduation. Instead, he pursued the entrepreneurial route and retired at 33 years old.

- When DeMarco was a teenager, he met a young inventor driving a Lamborghini. He realized that it was possible to get rich young, and started to research self-made millionaires who were (i) < 35 years old, (ii) didn't have extraordinary talents, and (iii) could live a truly lavish lifestyle (instead of scrimping and saving).
- After college, he was determined to get on the Fastlane. By 26, he had failed in several businesses, his girlfriend had left him, and he was broke and depressed. Meanwhile, his friends were advancing in their careers and his mum urged him to get a proper job.
- He decided to start afresh in Phoenix with just \$900. While he was working as a limo driver, he got the idea to build a website to connect limo companies with potential clients.

KEY QUOTES

"There's a hidden road to wealth and financial freedom, a shortcut of blinding speed where you can achieve wealth in youthful exuberance over elder entropy."

"The Millionaire Fastlane [is] a complete psychological and mathematical formula that cracks the code to wealth and unlocks the gateway to the shortcut."

"Retirement' doesn't have to happen when you're old and bent; it can (and should) happen while you're still young and vibrant."

He taught himself search engine optimization, graphic design, copywriting, and marketed his website aggressively with cold calls, emails, and snail mail. Gradually, he started to make hundreds, then thousands of dollars.

- As the business grew, so did the customer complaints. While DeMarco's friends were out having fun, he was working to resolve customer issues. In 2001, he sold the website for \$1.2mil. However, business suffered under the new owners, and DeMarco eventually bought it back for \$250,000. He refocused on customers, streamlined and automated the processes until the income continued to grow even when he worked less. In 2007, he sold the company for \$8 million and retired at a relatively young age of 33.



The Road Trip to Wealth



Wealth creation is not an event. Behind every success, there's a long and often-arduous process. You may see an athlete being offered a \$50mil contract, but you don't see the years of practice, failures and injuries. You may see a business being sold for \$20mil, but you don't see the years of hard work, sleepless nights and rejections.

- The process of wealth creation is exponential, not linear. You may struggle for several years, only to see a sudden explosion in growth like what happened with DeMarco.



Becoming wealthy is like taking a road trip. To arrive at your destination, you need 4 main components:

- Your roadmap = The beliefs that guide your actions like a compass.
- Your Vehicle = You. Since your level of wealth depends on the person you become, you must personally drive the vehicle.
- Your Roads = Your financial pathways. There are many ways to make money as an employee, self-employed or business owner.
- Your Speed = Execution, or how rapidly you move from idea to implementation.

KEY QUOTES

"Old age is not a prerequisite to wealth or retirement."

"Millionaires are forged by process, not by events."

"Fast wealth is created exponentially, not linearly."



The 3 Roadmaps to Wealth



Your belief system is like a compass that guides your life. Your beliefs shape your choices, which in turn shape your outcomes.



There are 3 financial roadmaps to wealth.

- Each roadmap comes with a different belief system that shapes how you think and act. These define your end-destination, perspectives about debt, time, education, money, wealth, responsibility and life in general.
- Each roadmap is also governed by a mathematical wealth equation that defines how you earn money and multiply your wealth.
- Of the 3 roadmaps, only one allows you to retire comfortably.
 - (i) People on the *Sidewalk* spend more than they earn. They sacrifice tomorrow for today's pleasures and end up living in poverty.
 - (ii) People on the *Slowlane* work hard for 50 years and hope they can save enough to retire comfortably. They end up living a life of mediocrity.
 - (iii) People on the *Fastlane* build businesses that satisfy 5 commandments (NECST), make millions within 10 years and create true wealth.

KEY QUOTES

"If you want to change your life, change your choices. To change your choices you must change your belief system."

"Whatever roadmap you choose, your universe for wealth creation will abide by each map's respective wealth equation."

	 Sidewalk	 Slowlane	 Fastlane
Wealth Equation	Wealth = Income + Debt	Wealth = Job + Market investments	Wealth = Net Profit + Asset Value
Destination	None. Live by the day.	Retire comfortably by 65	Lifetime passive income thru' business or investments
Life Perception	Live today. Don't worry about tomorrow.	Live frugally. Avoid unnecessary risks.	My dreams are worth pursuing. It helps to have money.
Debt Perception	Use credit for what you want now	Remove debt at all cost (including your time)	Use credit to build and grow a system
Time Perception	Spend time like there's no tomorrow.	Trade time for money. Hope to retire at 65	Time is the most valuable asset
Education Perception	Graduation = end of education	Education = a way to earn a bigger salary	Continually learn and grow your knowledge & awareness
Money Perception	Flaunt it if you have it. Don't bother saving.	Budget every hard-earned cent.	Money is a reflection of how much value you create.
Wealth Perception	Have as many "toys" as possible	Work → Save and invest → Repeat	Build business systems for cash flow and asset value
Main Source of Income	The best-paying gig right now	A job	Business systems and investments
Main Wealth Accelerator	Hope for a lucky break or windfall	Compound interest over 50 years	Create valuable assets, or add value to existing assets
Control and Responsibility	Victim mindset. Blame others.	No leverage or control over financial plan.	Take full responsibility for dreams and financial plans



The Sidewalk: Roadmap to Poorness



Sidewalkers live in the moment, maximizing pleasure now with no regard for tomorrow. They're governed by this equation: Wealth = Income + Debt.

- Their attitude to money is to "flaunt it if you have it". They spend all of their money on "toys" and don't bother to save.
- As a result, most sidewalkers have low or zero net worth. They don't have a destination nor a financial plan. They look for the highest-paying gig available, live from paycheck to paycheck, and borrow money to buy whatever they want.
- This roadmap leads to poverty, both in terms of time and money. Sidewalkers are always a step away from being broke, and can be derailed by a bump in the road (e.g. a recession, retrenchment).



Sidewalkers think of wealth as an event, e.g. winning the lottery or getting an inheritance. They seek to find lucky breaks or shortcuts, and get scammed into paying for "secrets" that promise easy money.



Instead of taking the driver's seat, they choose to hitchhike then blame others when they fail to arrive at their destination. To become wealthy, you must take responsibility and accountability.

- Take responsibility for your past/current actions, e.g. acknowledge that you lost your wallet because you carelessly left it on the table.
- Then, be accountable for your future outcomes, e.g. make sure you keep your wallet safely on your person in the future.



Sidewalkers equate wealth with material possessions such as ten-carat diamonds, seaside mansions, and exotic cars. Even if they earn a huge income, they still end up broke because they overspend on designer clothes, expensive hobbies and toys.

- True wealth doesn't come from material possessions. It comes from *familial relationships* (including friends, family, community, and God), *fitness* (including physical health,

KEY QUOTES

"Because the Sidewalk is about the short term, it never works for the long term. Your future becomes a mortgage for a pleasant present."

"Sidewalkers are ripe for swindling because they seek events and want to avoid process."

"You can't be a victim if you don't relinquish power to someone capable of making you a victim."

"Poor financial management is like gambling; the house eventually wins."

*"Wealth is the ability to fully experience life."
— Henry David Thoreau*

energy and vitality), and *freedom* of choice (i.e. the ability to freely pursue your dreams, manage your time and live as you wish).

- Own your possessions; don't allow your possessions to own you.
 - (i) Being rich should give you more options, not less options. Use money to buy freedom and choices that make you happy. Don't entrap yourself with an extravagant lifestyle that forces you to keep working harder.
 - (ii) You can truly afford something if you can pay for it in cash without any impact on your current and future lifestyle.



The Slowlane: Roadmap to Mediocrity



Slowlaners believe in the mantra: get a good job, save/invest 10% of your income, use compound interest to grow your money, and hopefully retire rich at 65. They're governed by this equation: Wealth = Job + Market investments.

- This plan requires you to work hard, live frugally, and sacrifice time today to have money 50 years later. In reality, there're many factors beyond your control, e.g. you may die early, lose your job, or encounter a market downturn just as you're about to retire.



You can't amass a large sum of money because you lack control and leverage.

- Your job salary = hourly wage x hours worked. As an employee, you can't control your company's financials. You can't get a 1000% pay raise no matter how well you perform, and market changes can easily render your job obsolete. You're also limited by 24 hours in a day.
- Your returns from market investments depend on compound interest = Invested Sum x $(1 + \text{Yield})^{\text{Time}}$.
 - (i) To get rich from compound interest, you need to invest for a long period of time with good investment yields. If

KEY QUOTES

"Wealth isn't embodied in a car but in the freedom to know that you can buy it."

"The Slowlane is a lifetime wager that a sacrificial today will yield a wealthier tomorrow."

"Wealth is best experienced when you're young, vibrant, and able, not in the twilight of your life."

you earn \$150,000 and save \$7,500 a year, then invest it at 8% returns, you'll get \$2 mil after 40 years (if you're still alive).

- (ii) To get rich while you're still young, you need returns of 80% or 800% (not 8%). Unfortunately, investments rarely yield annual returns of >10% consistently.

 The Slowlane leads to mediocrity. You end up trading your life away for money with little control or leverage.

- You can try to increase work hours, change jobs, advance your education, cut expenses, find better investments, or invest longer. However, there's a limited upside to how far you can improve your financial results. For example, you may take a \$50,000 loan and spend 800 hours to get an MBA to increase your salary by 15%. However, this also means extra student loans which you must now work off.
- On the other hand, there are huge downside risks, e.g. a health crisis or economic recession can disrupt your financial plans.
- The only way to create massive wealth is to concurrently control expenses while having an "income explosion" through (i) fame (e.g. becoming a famous actor or entertainer) or (ii) becoming a top honcho (e.g. a CEO who gets millions in stock options). Most people in the Slowlane simply get stuck in the middle. In fact, being a millionaire today (i.e. having a net worth of \$1 mil) only puts you in the upper-middle class. To live a truly lavish lifestyle, you need much more than \$1mil.



The Fastlane: Roadmap to Wealth



This roadmap allows you to create huge amounts of wealth quickly because you have both control and leverage.

- Unlike the Slowlane (which is about having a job), the Fastlane is about having a business system so you needn't do everything yourself. Building a process isn't easy, but it's extremely rewarding. Remember: get rich quick ≠ get rich easy.
- The world is made of a minority of producers selling to a majority of consumers. Fastlane success requires you to think like a producer. Instead of buying products online, sell products online. Instead of having a job, offer jobs.

KEY QUOTES

"The Slowlane is predisposed to mediocrity because the numbers are always mediocre."

"When you perform an autopsy on the Slowlane you see its true colors: It's slow, it eats time, and it's risky."

"The toil of wealth is the process itself...the toil is the creation and management of the system itself."

"To consume richly, produce richly first."

- Producers are innovators, entrepreneurs, creators and visionaries. They create something valuable out of nothing, add value to existing solutions, and/or multiply it unlimited times. You can make millions if you're an inventor who patents a process and licenses it to Fortune 500 companies, a doctor who develops and sells an anti-aging treatment, or a marketer who builds and sells a successful website.

 **The Fastlane is governed by this equation: Wealth = Net Profit + Asset Value.**

- Net Profit = Units sold x Unit profit. If you have a website, you can increase net profit by:
 - (i) Increasing the number of units (by increasing your web traffic or your conversion ratio); or
 - (ii) Increasing unit profit (by increasing prices or reducing costs).
- Asset Value = Net profit x Industry multiplier. Slowlaners and Sidewalkers buy/sell assets that depreciate in value, e.g. cars or designer clothes. Fastlaners buy/sell assets that appreciate in value, e.g. businesses, licenses, intellectual property, or patents.
 - (i) Once you've built an asset (e.g. a business), the asset value is determined by the net profit multiplied by prevailing market conditions. A multiplier of 5 means that every increase in net profit increases your asset value by 5x or 500%.
 - (ii) To accelerate your wealth, grow the value of your assets and sell them. Once you have a huge amount of money, you can convert it into a money system (e.g. lend out \$10 million at 5% interest for \$500,000 passive income per year).
- In short, Fastlaners don't use compound interest to build wealth. They create and sell assets to build wealth, then use compound interest to increase their income and liquidity.

 **Growing a Fastlane business is about building business systems that can run on their own, like a money tree that generates passive income.**

KEY QUOTES

"Fastlaners accelerate wealth by building cash-flowing assets that can be sold in the marketplace to realize gains. Their wealth equation has controllable, unlimited leverage."

"To weaponize the Fastlane wealth equation, you must engage in a Fastlane business that has the potential for leverage or high speed limits."

"Money is the king of money trees."

- You must still maintain the systems periodically, but the income is delinked from your time. You can retire so long as your monthly passive income exceeds your monthly expenses (including taxes).
- Here are 5 types of seedlings that can grow into money trees:
 - (i) *Rental systems*, including real estate, licenses, leases, patents or royalty payments.
 - (ii) *Computer systems*, including internet businesses and software.
 - (iii) *Content systems*, including books, blogs, magazines, social networks or other information systems.
 - (iv) *Distribution systems* that bring solutions to the masses, including app-stores, franchising, and network marketing.
 - (v) *Human resource systems (HRS)*: The more you rely on people to operate a business, the less passive the income will be since humans are hard to predict or control. However, to make millions or billions, you'll need some form of a HRS since you can't do everything yourself.



Fastlaners follow the Law of Effection, not the Law of Attraction.

- The Law of Attraction says that your thoughts are picked up by the Universe and manifested in reality. However, positive thinking alone isn't enough; you need concrete action to deliver results.
- The Law of Effection says that the amount of money you make is proportionate to the amount of value you give. The more people you impact directly or indirectly, the more money you'll make. Put yourself in a position that can affect millions of people, or serve someone who does (e.g. a famous actor or athlete).

"Human resource systems can add passivity or erode it."

"The more lives you impact, directly or indirectly, the more wealth you will attract."

"To serve millions is to make millions. Think big to earn big."



The Vehicle: You



Own the Vehicle: Start your Own Business



One of the Slowlane mantras is to pay yourself first. However, this is impossible so long as you're holding a job with a fixed salary and must pay mandatory government taxes, 401(k) contributions etc.



Start a business and structure it as a separate entity. This allows you to deduct your expenses to reduce the taxable amounts. It also allows your business to outlive you.

- Don't start a sole proprietorship or a general partnership, since your personal and business assets/liabilities are tied, and you can lose all your assets if something goes wrong with the business. Instead, go for C-corporations, S-corporations or Limited Liability Corporations (LLCs), all of which offer tax efficiency and limited personal liabilities.



Steer Your Vehicle: Make Good Choices



Your financial success or failure comes from hundreds of choices that jointly create your process and lifestyle. Every choice you make has a trajectory. Where you are now is the combined result of all your past choices. The choices made before the age of 30 have an especially huge impact since they decide your paths in life and the habits/processes you develop.



Beware of treasonous choices that can cause irreversible harm and permanently change your life, e.g. if you kill someone in a street race, or commit a crime that lands you in jail.



Clean Your Windshield: See Things Differently



Your perceptions (thought patterns) affect your actions (what you choose to do). Change your perceptions to change your actions.

KEY QUOTES

"To pay yourself first, you must own yourself."

"People drown in the misery of their own choices while neglecting to acknowledge they are the cause."

"Poor choices are the leading cause of poorness."

- Build new beliefs: gather evidence that it's possible to retire young, and that a job is as risky as a business.
- Use helpful words to shift your perceptions. Stop using words like "I can't..." or "It's impossible..." and start using words like "I can/will...", "It's possible to..."



Use 2 strategies to make better decisions:

- Analyze the worst-case consequences to avoid treasonous or disastrous choices. Evaluate your daily decisions with 3 questions: (i) What's the worse-case consequence? (ii) What's the probability of this outcome? and (iii) Is this risk acceptable?
- Use the weighted average decision matrix to evaluate options for big decisions.

(i) On a piece of paper, list down the all the factors that affect your decision. Add a weightage in brackets (from 1-10).

(ii) Evaluate each option. Multiply the score by the weightage and indicate the sub-total in parenthesis. Add up the scores and choose the option with the higher score.

Factors	Option 1	Option 2
Factor 1 (10)	2 [20]	6 [60]
Factor 2 (8)	4 [32]	2 [16]
Factor 3 (4)	6 [24]	8 [32]
Factor 4 (6)	5 [30]	1 [6]
Total	106	114



Don't look at the rearview mirror and lament the past. Focus on your choices now and the person you become in the future.



**Put the Headwind Behind You:
Manage Your Relationships**



Take stock of your environment and relationships.

- Toxic relationships and naysayers are like headwinds that drain us and slow us down. They may try to discourage you from the Fastlane or even obstruct you. Turn your back so the headwind now becomes tailwind to accelerate your progress.
- Create accelerative winds by associating with people who empower or support your goals. Join entrepreneur clubs, the Fastlane Forum, networking events and be around people with a possibility-mindset.

KEY QUOTES

"Extraordinary wealth will require you to have extraordinary beliefs."

"Changing your life starts with changing choices."

"Success follows those who break the headwind and put it at their back."



Maximize Your Fuel-Efficiency: Free Up Your Time



All of us have a finite lifespan and 24 hours a day. So, time is your most valuable asset. Slowlaners value money over their time, e.g. they may queue for 5 hours to get a free gift or to redeem a \$10 discount. Fastlaners realize that time is king—you can always make more money, but you can't avoid mortality.



Your life is the sum of your free time (time spent as you wish) and indentured time (time spent earning money). The more indentured time you have, the less free time you have. Aim to transform indentured time into free time.

- An extravagant lifestyle is a form of "parasitic debt": your 30-year home mortgage, designer clothes and car installments all create financial burdens that force you to work and limit your choices. It's like driving with a trunk full of junk—it reduces your car's efficiency and performance.
- Clear out the junk so you can move quickly. The true cost of a purchase is the dollar cost *and* the free time you must forego.



Change the Stale Oil: Reinvent Yourself



To keep a car running smoothly, you must change the oil every 3,000 miles. Likewise, you must continually educate and reinvent yourself to stay up to date.

- The goal of education is to enhance your business systems. Instead of being a cog in the system, learn to build the entire wheel. The best way to do so is through repeated action.



Throw out the common excuses:

- "I don't know how": We're surrounded by free information, e.g. library books, internet blogs, podcasts, webcasts, and courses. With discipline, you can learn virtually anything from programming to digital marketing and graphic design.
- "I don't have time": You can always find pockets of time to learn, e.g. while you're in the queue, in the toilet, during tea breaks, or by giving up TV or computer games.

KEY QUOTES

"The reality is that time is deathly scarce, while money is richly abundant."

"Time is an asset that is undervalued and mindlessly squandered."

"The ultimate wealth is having the free time to live how you want to live."

"The acquisition and application of knowledge will make you rich."

"Education is unplucked fruit from a tree, and all it needs is a ladder."



Hit the Redline: Be 100% committed



It takes years to grow money trees and build business systems. To succeed, you must commit to take action and persist despite repeated failures.

- Be prepared for sacrifice, hard work, and bumps on the road. When DeMarco was building his company, he worked 12 hours a day, lived in a tiny apartment, and gave up lifestyle comforts and social gatherings. You must be willing to take calculated risks, try new things, learn from mistakes, and keep going in face of inevitable failures. This process *cannot* be outsourced.



The Roads to Wealth



The 5 Fastlane Commandments (NECST)



Not every business gets you on the Fastlane. The right route to wealth must address the Law of Effectation by satisfying 5 Fastlane Commandments: Need, Entry, Control, Scale and Time (NECST). Such a route can make you wealthy quickly, such that you'll earn not just a good income (e.g. \$20,000 a month) but big money (e.g. \$200,000 or \$2 mil a month).



The Commandment of Need: Your business must fulfill a real need that people will pay for. This could be a pain point, unsolved problem, service or emotional gap.

- Don't start a business to do what you love or to fulfill your personal goals/dreams. Consumers don't care about your selfish dreams or interests. They want to know what is in it for them, and why they should give you their money.
- Paradoxically, the best way to attract money is not to focus on it. When you focus on solving huge problems and offering massive value, you'll naturally attract lots of money.
 - (i) Ask questions like: How can I help 1 million people to look/feel better, solve their problems, do things more easily, or achieve their dreams?

KEY QUOTES

"Fastlane success requires an investment toll of time and effort. This is the toll that makes you special and keeps everyone else out."

"To live unlike everyone else, you have to do what everyone else won't."

"Businesses that solve needs win. Businesses that provide value win. Businesses that solve problems win profits."

"Stop chasing money and start [to] chase needs, problems, pain points, service deficiencies, and emotions."

(ii) Do not ask questions like: How can I start a business with no money? How can I make passive income?

- Doing what you love isn't enough, unless that thing also (i) solves a real need and (ii) you're outstanding at it. To power your vehicle you need more than interest; you need passion. This involves something bigger than yourself that can compel you to take action. It could be:

(i) Something that truly *excites* you (e.g. making a difference); and/or

(ii) Something that triggers strong *discontent* in you (e.g. wanting to prove someone wrong).

DeMarco was motivated by the Lamborghini he saw in his teens and how his mother struggled to single-handedly raise 3 kids.



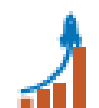
The Commandment of Entry: Your business must have barriers to entry, i.e. it takes time and skill to set up.

- If anyone can enter a business or industry, it will become overcrowded. Unless you're truly exceptional, you won't be able to differentiate yourself. Avoid a business (i) if it can be started with 1 event (e.g. filling up a form), or (ii) if everyone is doing it.
- For example, you'll just be a cog in the system if you're a network marketer, internet blogger or selling things on eBay. However, you can own the entire wheel if you own the network marketing company, the blogging platform, or eBay itself.



The Commandment of Control: You must have control over your business. If someone can destroy your business overnight, then you lack control. For example, Amazon can easily suspend a seller's account or change its affiliate marketing terms at any time.

- Invest time and money to grow your own brand, not someone else's. Offer rentals instead of renting from others, sell franchises instead of buying them, or manufacture products instead of retailing them.



The Commandment of Scale: To have leverage, you must be able to scale up your business exponentially or infinitely.

KEY QUOTES

"The amount of money in your life is merely a reflection to the amount of value you have given to others."

"Crowded, jammed roads move slowly, if at all."

"Stop climbing pyramids and start building them."

*"There is no dependence that can be sure but a dependence on one's self."
— John Gay*

- There are 3 barriers to the Law of Effectation:
 - (i) *Scale*: You can't make millions if you can't reach millions. If possible, sell to an entire country or the world.
 - (ii) *Magnitude*: You must be able to control your unit profit by increasing prices or decreasing costs.
 - (iii) *Source*: You must control the source or business system, or minimally serve the source directly.
- To test if you satisfy this commandment, consider if the business can: (i) increase net income by 100x or 1000x, (ii) impact millions of people, (iii) be worth millions in asset value, or (iv) be replicated easily through franchising, licensing or other options. A hot-dog stand by the beach isn't a Fastlane business. However, selling an international hot-dog franchise is.



The Commandment of Time: Your business must be able to survive and operate without you, i.e. it's delinked from your time and works even if you're asleep or on holiday. Otherwise, it's just another job.

- Find ways to automate and systematize your business by introducing the 5 money tree seedlings into your operations.



Find Your Interstates/Highways



Businesses that fulfill all 5 commandments are like highways or interstates with high speed limits. Here are 3 options:

- You can meet all 5 commandments with an Internet business. Common business models include: subscriptions (offering data or software for a recurring fee), content (offering free content and selling advertisements), leads-generation (linking customers to potential solutions), advertising (linking buyers and sellers for a fee), social networks (building communities), brokerage systems (facilitating transactions), and e-commerce (selling goods, services or information over the internet).
- Innovation: Invent a product/service that solves a need or want, manufacture it, then distribute it. This could be as simple

KEY QUOTES

"The larger the habitat, the greater the potential speed, or leverage, of your Fastlane."

"Effectation always is biased toward the architect of the system."

"Successful businesses take existing ideas, services, and products and simply make them better, or spin them in new directions."

as repackaging a boring solution in a fresh/fun way, or taking something unconventional and making it conventional.

- Intentional iteration: Test, build and develop a winning business model that can be replicated unlimited times. For instance, you may start with 1 coffee kiosk, then use a cookie-cutter approach to multiply the successful model through franchising or chaining.



Fastlane opportunities are everywhere. **You don't need groundbreaking ideas; you just need to improve existing ideas or execute better than your competitors.** Google built a better search engine than existing players like Yahoo, Snap and AltaVista. Starbucks reinvented coffee—a beverage that had been around for thousands of years. Along the way, it's ok to change course so long as you don't quit the Fastlane to end up on the Slowlane or Sidewalk.



Moving Toward your Destination



Define your destination in 4 parts:

- Define your ideal lifestyle, including cars, house(s), holidays, children's education etc.
- Estimate the costs including taxes and insurance if any. Add other monthly expenses (e.g. clothing, food) to calculate your Gross Monthly Living Cost. Divide this amount by 60% to get the Net Living Cost after taxes.
- Set your targets for your business system and/or money system.
 - (i) Build a *business system* that generates a target monthly passive cashflow of 5x your Gross Living Cost, of which 40% goes toward taxes, 40% funds your money system and 20% pays for your lifestyle.
 - (ii) Alternatively, build a *money system*: amass a lump-sum of money, then earn a monthly interest to support your lifestyle. The target is Net Living Cost x 12 months divided by 5%.

KEY QUOTES

"Skip the big idea and go for the big execution."

"The tragedy of life doesn't lie in not reaching your goal. The tragedy lies in having no goal to reach."
— Benjamin Mays

KEY QUOTES

"No matter how big or small, dreams have a price, and that price is money, responsibility, accountability, and commitment."

"Financial advisers do not solve financial illiteracy just as more money doesn't solve poor money management."

"Fastlane success comes from monogamy; not split attentions among wives and mistresses...Focus on one Fastlane business and kick ass at it."

- Make it happen: Build your business system a few steps at a time so you won't feel overwhelmed. Start your money system by dropping a quarter into a jar. Then, add your loose change to the jar at the end of each day. Once you have \$1,000, open a brokerage account (and invest in an income fund with $\geq 5\%$ annual returns), or open a trading account for Exchange Traded Funds (ETFs).



You can't get rich (or stay rich) without financial literacy.

- Learn about economics and financial instruments, e.g. interest rates, mortgage amortization, taxable vs non-taxable yields, return on investment, or how bonds, stocks insurance, mutual funds and global currencies work. Otherwise, you can't differentiate between good and bad financial advice, nor audit what your financial managers are doing with your money.
- Regardless of your income level, live well below your means to expand your means for maximizing income and asset values.



Speed of Wealth Acceleration



The 3 ingredients above help you to prepare for your road trip to wealth. However, nothing happens until you step on the accelerator.

- To get really good at something, you must live and breathe it. So, focus on 1 thing at a time. Dabbling in 20 opportunities will dilute your focus and bring mediocre results. Once you've built your wealth, you can diversify into other investments or ventures.



Think of your Fastlane business like chess. Use all the pieces on the chessboard to win the game:



King -
Execution



Queen -
Marketing



Bishop -
Customer service



Knight -
Product



Rook -
People



Pawn -
Ideas



Execution is King



An idea is worthless until it is executed. You won't know if an idea or plan works until you test it in the market.

- By all means do some market research and financial analysis, but don't waste time on a complex business plan. Use real-world feedback to validate your direction, figure out what to change or continue. If people like your idea or offer, they will give you their time, support and money.



Investors look for a strong track record of execution. The best way to secure investment or venture capital is to make your idea tangible—develop a prototype, start acquiring customers and build a brand/process so there's something concrete for investors to see, experience and touch.



Marketing and Branding = Queen



A weak business can still survive with strong marketing, because marketing shapes perceptions which in turn shapes reality.

- Build brands, not businesses. If you sell cars or computers, you're just selling commodities. However, when you build a strong brand, you create an identity that consumers can relate to, e.g. Volvo stands for safety, Ferrari stands for luxury, and Apple stands for elegance and simplicity.



To build a brand, you need a Unique Selling Proposition (USP). This is the compelling reason for customers to choose you over your competitors, and it forms the anchor for your brand.

- To develop a strong USP:
 - (i) Focus on the need/want that you serve better than anyone else. What's the *biggest benefit* you offer to consumers that competitors don't? What makes you unique?
 - (ii) Describe the unique benefit using *strong action verbs*, e.g. "obliterate fat" is more compelling than "lose weight".
 - (iii) Incorporate the USP into all your marketing materials, e.g. website, email signature, receipts, advertisements etc.

KEY QUOTES

"Execution is the great divider separating winners and losers from their ideas."

"The owner of an idea is not he who imagines it, but he who executes it."

"The value is not the plan, but the person giving it and his track record of execution."

"Own the consumer's mind and you own the consumer."

"Businesses survive. Brands thrive. Businesses have identity crises, brands don't."

- Use these tactics to make sure you're heard above the noise.
 - (i) Polarize: Present an extreme viewpoint so people either love or hate you.
 - (ii) Move your audience by triggering feelings of pride, joy etc.
 - (iii) Use sexual appeal to grab attention.
 - (iv) Be interactive: People are more likely to buy something if they can touch, taste, or use it first.
 - (v) Be unconventional.
- People don't buy cars, dresses, or holidays; they're actually buying reliability, confidence or memories. Once you catch people's attention, focus on what's in it for them. To translate features to benefits:
 - (i) *Put yourself in your buyers' shoes*: Who are they? What do they want or fear? What problems do they wish to solve?
 - (ii) Identify your solution's *features*, and how each feature provides advantages that translate into *benefits or results*. For example, your app allows home-sellers to create and upload 3D pictures, which allows potential buyers to "tour" the house remotely. Home-sellers can filter out serious buyers and waste less time on those who're just browsing.



Use price as a branding tool since it affects the perceived value of your product. A painting priced at \$200 may actually sell faster than one priced at \$20. Product B below appears more valuable than Product A (even though the sale price is the same).

Product A	Product B
\$9.99	\$59 \$29 \$9.99 (Final Reduction!)



Customer Service = Bishop



The goal of customer service is to help/support customers to resolve their issues.



Use complaints to learn what customers are thinking. Keep a record of all complaints, look for patterns and identify which ones to prioritize. There are 4 main types of complaints:

KEY QUOTES

"If you can move your audience's emotions and make them care, they will buy."

"Price is a brand-builder because price implies value."

KEY QUOTES

- Complaints about change. It's normal for people to resist changes, but a change clearly doesn't work if brings lots of complaints and a loss of customers.
- Investigate complaints that you've failed to meet expectations. Often, these reveal operational or product problems and/or marketing misinformation that should be rectified.
- If customers frequently ask for something you don't have, it represents an opportunity to address unmet needs.
- Fraudulent complainers seek to exploit the business (e.g. a diner adding an insect to his food to get a free meal). Respond graciously, politely explain your stand and move on.



You earn customers' loyalty and positive word-of-mouth when you exceed service expectations. For instance, rather than send customers to a voicemail or automated attendant, surprise them by having a real person pick up the call and resolve their issue within 5 minutes!

"Poor service gaps are Fastlane opportunities."

"To create raving customers, you must exceed satisfaction."



Products/services = Knight



A Fastlane solution must solve such a big problem for customers that you become their savior.

- Many entrepreneurs waste too much time focusing on rivals. They end up reacting to competitors' moves instead of growing their own businesses. Focus 95% of your energy/resources on innovations that can win your customers' hearts and minds. Use just 5% of your focus to differentiate your business further by exploiting your competitors' weaknesses.



People = Rook or Castle



The right people accelerate your journey while the wrong ones can derail you.

- Business partnerships are like marriages. Take the time to make sure you're compatible—you have complementary skills, a common vision, goals, and values—before you get married.

"Partnerships are like marriage-half the time they will fail because the partners just aren't compatible."

- Hire accountants and attorneys you can trust. Do your due diligence, including background and reference checks.
- Your employees are your co-drivers. Find the right people who can represent your business and execute your vision and customer service philosophy.



Other Details in the Book to Look out For

You won't get results from knowledge alone. Make a firm decision to apply the insights in this book and start your road trip to wealth. This book is written in 45 short chapters, each with specific distinctions to change how you think about wealth, and examples to bring the ideas to life. For more details, please visit <https://www.mjdemarco.com/>.

About the Author

M.J. DeMarco is a semi-retired entrepreneur, investor, advisor, and author. He is currently the founder of Viperion Publishing Corp. and The Fastlane Forum (an entrepreneurial community). Previously, he founded Limos.com (1997-2007) which he sold in 2001, reacquired and resold in 2007.



KEY QUOTES

"Be very careful with whom you trust with the keys to your castle because they can drive you to financial ruin."

"Your choices are made in a moment, but their consequences will transcend a lifetime."